



Britannia Consolidated Q2FY23 results were better than expectations.

- Revenue increased by 22.1% YoY to Rs 43375.9mn aided ~18% pricing and 4% volume growth.
- EBIDTA margins returned to 16.3%** from 13.5% on a QoQ basis, and 13.5% YoY on account of price increases. Raw Materials to Revenue stood at 61.1% v/s 62.5% YoY and 63.1% QoQ.
- EBIDTA on absolute basis grew by 27.5% YoY to Rs 7117mn, however 39% rise in interest expenses and flat other Income led PBT growth @ 26.1%.
- PAT grew by 28.4% YoY to Rs 4933mn aided some bit by lower tax rate at 25.6% v/s 27% YoY.

Outlook:

- No-One-Off's in the revenues in Q2FY23
- No slowdown seen in Rural on account of efforts taken in distribution
- Rural Market Share gains were 1.5x All India
- ICD's @ Rs 5.9bn v/s 6.9bn QoQ
- Commodity inflation to remain stable in Q3and Q4 do not see complete cool-down
- Pricing has some-bit impacted Britannia's volumes but at same time it is building distribution
- Endeavour is to get to higher EBIDTA margins at the same time keep funds for innovation & market share gains

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	4,565	10

Market data

Current price	Rs	4,139
Market Cap (Rs.Bn)	(Rs Bn)	997
Market Cap (US\$ Mn)	(US\$ Mn)	12,095
Face Value	Rs	1
52 Weeks High/Low	Rs	4,190 / 3,050
Average Daily Volume	('000)	263
BSE Code		500825
Bloomberg		BRIT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	50.55	50.55
Public	49.45	49.45
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	1,15,996	1,31,361	1,41,363	1,57,949	1,73,701
EBIDTA	18,432	25,092	22,015	25,037	28,744
Margins	15.9	19.1	15.6	15.9	16.5
PAT (adj)	14,155	18,643	15,255	17,389	19,970
growth (%)	22.1	31.7	(18.2)	14.0	14.8
EPS	58.9	77.4	63.3	72.2	82.9
P/E (x)	70.4	53.5	65.4	57.4	50.0
P/B (x)	22.6	28.1	39.0	63.4	36.0
EV/EBITDA (x)	53.3	39.5	45.6	40.5	35.0
RoE (%)	32.1	52.6	59.6	110.5	72.0
ROCE (%)	27.9	40.6	39.6	49.7	48.8

Source: Dalal and Broacha

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Conference Call KTA's continue

Britannia Q2FY23 Concal KTA's	
VOLUME Growth:	4% 3 year CAGR Volume growth @ ~8%
PRICE HIKE Taken:	+18% YoY +7% QoQ Over 7 qtrs +22.5%
MARKET SHARE:	@ 15 year high Rural MS gains 1.5x of All India ~18% Share in UP v/s 11% 7 years back
INFLATION	+32% from last 7 quarters impacted profits by 23% mitigated via price increase taken ~22.5% and 3% via cost efficiency program QoQ Inflation +3% (price increase +7% to do catch-up)
1.Food Commodity inflation:	was steady in Q2FY23 expected to cool-off from Q3FY23
Inflation: Wheat	+25% YoY prices still high
Inflation: Industrial Fuel	+40% YoY
Inflation: Palm Oil	+10% YoY shown signs of stabilizing
Inflation Milk:	Prices on a high
Inflation Sugar:	seen some more upside
Value of Procurement:	Wheat + palm Oil +sugar = 65%
	Wheat during harvesting season procured
OTHER COSTS	
1. Ad-Spends & Sales Promotion:	Spends Normalised
2. Cost Efficiency Savings	1.5x YoY 1x to 8x since FY14
	Market Returns lowest in Q2
DISTRIBUTION:	
1.Rural Dealers:	Jun-22 @ 27k Sept-22@ 28K
	distributors lesser organised 40 to 100 outlets covered 10k population areas serviced through CNF agents cost 1% more
2.Direct Reach in lakhs	26 v/s 21.9 from March +4 lacs (in par with HUL)
DEBT	Taken for Ranjangaon plant expansion in dairy
1. Int Rate on Debt for capex:	5.8% Treasury Yields @ 8.5%
2. New Factories	Dairy Tamil Nadu+UP

Britannia Q2FY23 Concal KTA's	
PRODUCTS:	
1.Croissants:	Run rate @ Rs 150crs by end of FY23 +70% QoQ National Scale-up distribution needs to be built-up still
2.50-50 Golmal:	Extended to Bihar, Jharkhand & Orissa Revenue Growth + 85% QoQ
3.New Product Contribution@:	5% of Revenue
4.Innovations:	Biscale launched in Q1FY23 2.9x Revenue QoQ
	NC Seeds, Herbs and Protein launched Q1FY23 2.5x Revenue QoQ
	Cheese Wafers – Launched in Jun’22 Extended to West Region Annualized revenue ~Rs 15 Crs capacity fully utilized
	Marble Cake 2x Revenue QoQ
5. 100crs + Products	Milk Shakes reached 100crs+ Crossiants to cross +100crs FY23 Cheese Wafers + Potatoz and Biscale too in similar trajectory
ADJACENT BUSINESS	
1. Bakery	Bread Profitable journey continues Cake and Rusks are back
2. Dairy	Maharashtra Factory commercialized in Oct-22 Inflation remains an issue which impacts profitability Milk price up from Rs 30 to Rs 41 growth reasonably good working on strategic initiatives
3. International	Acquisition of controlling stake in Kenya’s Kenafric Biscuits Ltd (Infringer removed) Middle East growth story remains intact post a solid Q1 even America growth good
MANAGEMENT HIGHLIGHTS	
Ranjeet Kohli:	to take full charge of day-to-day operations

Quarterly Financials

Particulars (Rs Mns)	Q2FY23	Q2FY22	Growth	Q1FY23	Growth
Consolidated					
Net Sales	43,375.9	35,536.8	22.1%	36,538.0	18.7%
Other Op Income	420.2	536.9	-21.7%	471.6	-10.9%
Total OP Income	43,796.1	36,073.7	21.4%	37,009.6	18.3%
Add: O. Income	532.4	534.0	-0.3%	555.0	-4.1%
Total Income	44,328.5	36,607.7	21.1%	37,564.6	18.0%
RAW MATERIALS	(26,745.7)	(22,543.2)	18.6%	(23,361.3)	14.5%
Employee Cost	(1,625.7)	(1,536.1)	5.8%	(1,469.9)	10.6%
O. Exps	(8,307.7)	(6,411.1)	29.6%	(7,171.0)	15.9%
EBIDTA	7,649.4	6,117.3	25.0%	5,562.4	37.5%
EBIDTA Less O. Inc	7,117.0	5,583.3	27.5%	5,007.4	42.1%
Less Int	(541.4)	(389.5)	39.0%	(419.7)	29.0%
Less Depn	(516.6)	(501.6)	3.0%	(509.6)	1.4%
<i>Less Exceptional</i>	-	-		-	
PBT Before Exceptional	6,591.4	5,226.2	26.1%	4,633.1	42.3%
PBT	6,591.4	5,226.2	26.1%	4,633.1	42.3%
Less Tax	(1,686.2)	(1,410.0)	19.6%	(1,274.2)	32.3%
Share of Profit/Loss from Associate	0.6	2.2	-72.7%	(1.5)	-140.0%
Minority Interest	-	-		-	
PAT Reportd	4,905.8	3,818.4	28.5%	3,357.4	46.1%
PAT Adjusted Owner Share	4,932.8	3,842.2	28.4%	3,374.4	46.2%
Equity	240.9	240.9		240.9	
EPS (Adjusted PAT)	20.5	15.9		14.0	
OPM	16.3%	15.5%		13.5%	
NPM	11.1%	10.4%		8.9%	
Tax Rate	-25.6%	-27.0%		-27.5%	
% to Operating Income					
RAW MATERIALS	-61.1%	-62.5%		-63.1%	
Employee Cost	-3.7%	-4.3%		-4.0%	
O. Exps	-19.0%	-17.8%		-19.4%	
Total	-83.7%	-84.5%		-86.5%	

Source: Dalal & Broacha Research, Company

Valuation

Britannia's management have time and again proved themselves generating excellent results, even in this inflationary environment taking price actions and gaining market share at the same-time.

The management has always followed a wholistic approach with focus on product innovation on one-side and distribution on another followed with cost-efficiencies program (i.e. 8x since FY14 and 1.5x YoY)

At CMP of Rs 4142 Britannia trades at 57x FY23e EPS of Rs 72.2 and 50x FY23e EPS of Rs 83. With this kind of consistent performance we believe the stock will get re-rated thus we maintain **BUY ON DIPS** With a target price of Rs 4,565 (i.e. 55x FY24 earnings)

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Operating Income	1,15,995.5	1,31,361.4	1,41,362.6	1,57,949.5	1,73,701.5
Raw materials	(69,274.7)	(76,261.0)	(87,603.0)	(96,665.1)	(1,05,089.4)
Employee costs	(4,866.9)	(5,273.8)	(5,422.6)	(5,856.4)	(6,442.0)
Other Expenses	(23,422.1)	(24,734.3)	(26,321.9)	(30,390.6)	(33,426.1)
Cost of sales	(97,563.7)	(1,06,269.1)	(1,19,347.5)	(1,32,912.1)	(1,44,957.5)
Operating Profit	18,431.8	25,092.3	22,015.1	25,037.4	28,744.0
Depreciation	(1,848.1)	(1,978.5)	(2,005.4)	(2,027.8)	(2,224.2)
PBIT	16,583.7	23,113.8	20,009.7	23,009.6	26,519.8
Other income	2,794.0	3,129.3	2,228.3	2,145.6	1,980.2
Interest	(769.0)	(1,109.0)	(1,442.9)	(2,020.3)	(1,904.8)
Profit before tax	18,608.7	25,134.1	20,795.1	23,134.8	26,595.1
Extraordinary Items / Exce	(170.1)	-	-	-	-
Profit before tax (post Exc	18,438.6	25,134.1	20,795.1	23,134.8	26,595.1
Provision for tax	(4,507.0)	(6,630.2)	(5,623.5)	(5,823.0)	(6,694.0)
Reported PAT	13,931.6	18,503.9	15,171.6	17,311.8	19,901.1
Share of Pft and Loss of Associates and Minority	94.7	141.2	86.4	77.4	69.2
Adjusted PAT	14,154.8	18,643.5	15,255.3	17,389.2	19,970.3

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	14,026.3	18,639.0	15,248.2	17,389.2	19,970.3
Add: Dep. & Amort.	1,848.1	1,978.5	2,005.4	2,027.8	2,224.2
Cash profits	15,874.4	20,617.5	17,253.6	19,417.0	22,194.5
(Inc)/Dec in					
-Sundry debtors	738.8	630.9	(746.6)	(389.5)	(369.9)
-Inventories	404.2	(3,505.3)	(2,760.0)	692.8	(1,294.7)
-Loans/advances	(1,507.3)	786.8	2,205.8	876.4	(528.9)
-Sundry creditors	(242.3)	1,984.7	(295.3)	1,448.9	1,246.3
-Others	872.4	2,363.1	1,813.2	1,595.8	416.7
Change in working capital	265.8	2,260.2	217.1	4,224.4	(530.5)
CF from Oper. activities	16,140.2	22,877.7	17,470.7	23,641.4	21,664.0
CF from Inv. activities	(17,299.5)	(770.5)	4,383.6	497.2	(5,500.0)
CF from Fin. activities	1,289.6	(21,222.3)	(22,118.7)	(21,617.2)	(11,916.5)
Cash generated/utilise	130.3	884.9	(264.4)	2,521.4	4,247.5
Cash at start of the year	1,098.2	1,228.5	2,113.4	1,849.0	4,370.4
Cash at end of the year	1,228.5	2,113.4	1,849.0	4,370.4	8,617.9

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	240.5	240.9	240.9	240.9	240.9
Reserves	43,787.8	35,235.7	25,340.1	15,498.4	27,480.6
Net worth	44,028.3	35,476.6	25,581.0	15,739.3	27,721.5
Def. Tax Liab.+Minority Int	356.5	363.4	275.0	354.6	426.2
Secured loans	7,660.6	7,471.5	7,069.9	17,097.7	15,097.7
Unsecured loans	7,479.9	13,571.5	17,585.5	13,118.0	11,118.0
Total debt	15,140.5	21,043.0	24,655.4	30,215.7	26,215.7
CAPITAL EMPLOYED	59,525.3	56,883.0	50,511.4	46,309.6	54,363.4
Gross block	23,954.9	25,111.8	26,682.7	30,972.3	33,972.3
Accumulated depreciation	(6,562.8)	(8,541.3)	(10,546.7)	(12,574.5)	(14,798.7)
Net block	17,392.1	16,570.5	16,136.0	18,397.8	19,173.6
Capital WIP	395.5	1,165.2	5,356.8	4,000.0	4,000.0
Total fixed assets	17,787.6	17,735.7	21,492.8	22,397.8	23,173.6
Goodwill	1,389.7	1,359.0	1,396.1	1,473.7	1,473.7
Investments	28,932.3	27,806.9	17,623.7	14,116.1	16,616.1
Inventories	7,409.6	10,914.9	13,674.9	12,982.1	14,276.8
Sundry debtors	3,203.6	2,572.7	3,319.3	3,708.8	4,078.6
Cash & bank	1,228.5	2,113.4	1,849.0	4,370.4	8,617.9
Loans & advances	13,130.6	9,995.0	7,980.0	6,850.0	6,850.0
Other current assets	5,144.8	7,493.6	7,302.8	7,556.4	8,085.3
Sundry creditors	(1,162.8)	(13,147.5)	(12,852.2)	(14,301.1)	(15,547.5)
O. Current Liabilities	(5,563.1)	(6,095.7)	(6,932.5)	(8,333.6)	(8,750.3)
Provisions	(2,044.2)	(3,874.7)	(4,851.1)	(5,045.8)	(5,045.8)
Working capital	11,347.0	9,971.7	9,490.2	7,787.2	12,565.2
Deferred Tax Assets	68.7	9.7	508.6	534.8	534.8
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	59,525.3	56,883.0	50,511.4	46,309.6	54,363.4

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	15.9	19.1	15.6	15.9	16.5
NPM	11.9	13.9	10.6	10.9	11.4
Tax rate	(24.4)	(26.4)	(27.0)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	4.9	13.2	7.6	11.7	10.0
Operating Profit	6.3	36.1	(12.3)	13.7	14.8
PAT	22.1	31.7	(18.2)	14.0	14.8
Per Share (Rs.)					
Net Earnings (EPS)	59	77.4	63.3	72.2	82.9
Cash Earnings (CPS)	66	86	72	81	92
Dividend	15.0	118.0	74.5	56.5	33.2
Book Value	183.1	147.3	106.2	65.3	115.1
Free Cash Flow	(4.82)	91.77	90.72	100.20	67.10
Valuation Ratios					
P/E(x)	70.4	53.5	65.4	57.4	50.0
P/B(x)	22.6	28.1	39.0	63.4	36.0
EV/EBITDA(x)	53.3	39.5	45.6	40.5	35.0
Div. Yield(%)	0.4	2.8	1.8	1.4	0.8
FCF Yield(%)	(0.1)	2.2	2.2	2.4	1.6
Return Ratios (%)					
ROE	32.1	52.6	59.6	110.5	72.0
ROCE	27.9	40.6	39.6	49.7	48.8

Source: Dalal & Broacha Research, Company

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